

Total Marks: 50

Time: 2 hours

NB:

- 1) All questions are compulsory.
- 2) Working notes form part of answer.
- 3) Figures to the right indicate full marks.
- 4) Use of simple calculators is permitted.

(14)

Q.1.(a)

Following is the trial balance of Ravi Consumers Co-operative Society as on 31.3.2024.

Trial Balance As on 31.3.2024

Particular	Amt	Amt
Share Capital		80,000
Deposits from members		50,000
sales		12,50,000
Purchase return		5000
Suppliers		10000
Interest on investment		12,000
Rebate received		3,000
Common good fund		4,000
Price Fluctuation fund		8,000
Reserve Fund		20,000
Cash in hand	400	
Cash at bank	86,000	
Furniture	6,000	
Purchases	10,05,000	
Customers	30,000	
Carriage inward	5,000	
Sales return	2,000	
Rent	10,000	
Audit fees	2,000	
Sales Tax	3,000	
Staff salary	50,000	
Printing & stationery	10,000	
Investment	2,00,000	
Stock in trade	30,000	
Interest paid	2,600	
	14,42,000	14,42,000

Adjustment:

- 1) Value of closing stock on 31.3.2024 was Rs. 60,000
- 2) Depreciation on furniture @10 % p.a.
- 3) Interest accrued on deposits Rs. 1,500 & interest accrued on investment Rs. 6,000.
- 4) Outstanding salary of Rs. 3,000.
- 5) Outstanding sales tax of Rs.1000.
- 6) Contribute to education fund Rs. 100.

You are required to prepare Trading & P & L Account and balance sheet as on 31.3.2024.

Or

Q.1.(b)

(14)

Following is the Trial balance of Surya co-operative housing society ltd. As on 31st March 2024.

Debit	Amt	Credit	Amt
Cash in hand	500	Member's contribution for maintenance	2,47,000
Cash at bank	11,000	Int. on saving bank account	2,500
Debtors	51,000	Repaid fund (opening balance)	1,10,000
Building	15,00,000	Reserve fund (opening balance)	3,30,000
Electricity charges	8,000	Entrance fees	5,000
Repaid expenses	4,200	Members contribution towards repair fund	10,000
Furniture	6,500	Members contribution towards Sinking Fund	25,000
Printing	1,500	Income & Expenditures Account	6,03,200
Accounting charges	10,000	Sinking Fund (Open. Bal.)	2,50,000
Conveyance expenses	3,200	Subscribed Capital	
Depreciation	18,800	1000 shares of Rs. 50 each	50,000
Property tax	11,000		
Insurance premium	6,100		
Miscellaneous expenses	900		
	16,32,700		16,32,700

Additional information:

- 25% of the surplus of the current year should be transferred to reserve fund.
- Expenses payable was as follows:
 - Printing and stationary Rs. 5000/-
 - Audit Fees Rs. 3,000/-
 - Salary Rs.1,300/-
 - Electricity Charges Rs. 700/-

Prepare Income and expenditures account for the year ended March 31, 2024

Q.No.2) a)

(12)

The Secretary Avdooth co-operative housing society approach GK Associates CA Firm for auditing of accounts and give audit report. You are working as intern in that CA Firm. What points you should keep in the mind while auditing Avdooth co-operative housing society accounts?

Or

Q.No.2) b)

(12)

Background:

The Pooja Co-operative Housing Society, established in 2010, has a reputation for orderly management and transparent financial practices. Each year, the society's committee conducts an audit of its books of accounts to ensure financial integrity. For the fiscal year 2022-23, CA Siddesh Gadgil was appointed as the auditor. Siddesh, a qualified Chartered Accountant, is the brother-in-law of Mr. Sukant Desai, the society's president.

Key Players:

Mr. Sukant Desai - President of the Pooja Co-operative Housing Society.

CA Siddesh Gadgil - Chartered Accountant responsible for auditing the society's accounts for the fiscal year 2022-23.

Incident:

During the audit for the fiscal year 2022-23, CA Siddesh Gadgil discovered significant manipulation and misappropriation of cash and records. His investigation revealed that several committee members, including President Sukant Desai, were involved in these financial irregularities. This discovery placed Siddesh in a challenging position, given his familial relationship with the president.

Q.1) What ethical principles should guide Siddesh's actions as a Chartered Accountant? (04)

Q.2) What role should the housing society's residents play in ensuring financial transparency and accountability? (04)

Q.3) If you were in Siddesh's position, what actions would you take upon discovering the financial misconduct? (04)

Q.3) a) The following is the receipt and payment account of the Sachin Club in the respect of the year ending March 31, 2024. (12)

Receipt	Amount	Payment	Amount
To opening balance	2,050	By salaries	4,160
To subscription:		By printing & Stationery	800
2023 80		By Rates and taxes	1,200
2024 4,220		By telephone	200
2025 160	4460	By purchase of 4% Govt Sec. at par on 31/3/2024	2,500
To sports meeting surplus	3100	By Sundry Expenses	1,850
To int. on investment	2,000	By balance at close	900
	11,610		11610

In addition to the information contained in the above account the following additional facts are ascertained:

1. There are 450 members each paying an annual subscription of Rs. 10, Rs. 90 being in arrears for 2023 at the beginning of 2024.
2. Stock of stationery at 31/3/2024 was Rs.100/- and on 31st March,2024 Rs. 180/-
3. In March 2024; the rates were prepaid up to the following 30th June, the yearly charge being 31/3/2023 were Rs. 140/-
4. On March 31,2023; the building stood in the books at Rs.20000 and it is required to write off depreciation at 5% p.a.... investment on 31st March were Rs.40000/-

You are required to prepare an Income and expenditure account for the year ended March 31st March 2024 and balance sheet at the date.

Or

Q.3)b). from the following particulars relating to NAMO charitable Hospital, prepare Income and expenditure account for year ended March 31, 2024 and balance sheet as on that date. (12)

Receipt	Amount	Payment	Amount
To Cash opening balance	7,130	By Medicine	30,500
To subscription:	47,996	By doctor's honorarium	9,000
To Donation	14,500	By salaries	27,500
To interest on Investment 7% p.a.	7,000	By petty expenses	14,801
To proceed from charity show	10,450	By equipment	750
		By charity show	750
		By balance at close	3,775
	87,076		87,076

Particular	1/4/2023	31/3/2024
Subscription due	240	260
Subscription received in advance	64	100
Stock of medicine	8810	9740
Value of equipment	21,200	31600
Building (cost less depreciation)	40,000	38,000

Q.No.4)

(12)

i) Don Sun Charitable Trust was established in 2020 with the primary objective of protecting the interests of religious institutions. The trust furnishes to you receipts and payment accounts for the year ended 31st March 2024.

Receipt	Amount	Payment	Amount
To Balance B/d		By charities	8500
Cash in hand	150	By salaries	2500
Cash in deposits	2,500	By rent and taxes	1,300
Cash in current a/c	1,200	By printing	400
To Donation	4,000	By postage	150
To subscription	2,000	By advertisement	350
To Endowment fund	16,000	By purchase of furniture	850
To legacies	8,000	By investment	16000
To interest on investment	8,000	By advances against contract for premises	2,500
To interest on deposits	200	By Balance B/d	
To sale of furniture	50	Cash in hand	1050
		Cash in deposits	6000
		Cash in current a/c	2,500
	42,100		42,100

Additional information:

ss:25]

- 1) Treat 50% of donation and legacies received as income
- 2) Outstanding rent for the year Rs.300
- 3) Salaries unpaid for the year amounted to Rs. 500
- 4) Interest on investment due but not received Rs.500

07

Prepare income and expenditure account for the year ended March 31,2024.

(08)

Q, No. 4.ii)

(04)

In the fiscal year 2023, the Don Bosco trust received a significant donation of INR 50000 from MMK Ltd. This donation was specifically intended for the construction of new buildings for various religious institutions. However, during an audit conducted by CA Siddharth, it was discovered that Mr. Santosh Khote, a key trustee, had misused a substantial portion of these funds for personal purposes. If you were in position of CA Siddharth what measures, you take to avoid incidents of fund misuse?

Or

Q.No.4) b) Answer the following questions in brief (any 3)

(12)

- 1) Elaborated different types of co-operative society
- 2) What are the books of accounts maintained by co-operative housing society?
- 3) Explain the procedure of preparation of income and expenditure a/c and balance sheet
- 4) Enumerate the difference between religious trust and charitable trust
- 5) What item of income are exempted in the case of charitable trust U/S 11(1)(d)?
